

CAPITAL MARKETS

Cerberus Buys \$1.3B Multifamily Loan Book: The Price Says the Debt Has a Bid

A near-par sale reveals that institutional capital sees value in the spread, not the collateral.

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A source-grounded Light Tower Insight. The complete note follows.

Cerberus Capital Management just bought a \$1.3 billion multifamily loan book from OceanFirst Financial Corp. at 92 cents on the dollar. The headline reads like a distress sale. The price says something else.

Ninety-two cents is not a fire sale. It is a signal that the buyer believes the debt is worth nearly what the bank carried it at, even after New York City froze rent increases on roughly one million rent-stabilized units last month. That is the tension worth examining: why would an institutional buyer pay near par for loans secured by assets whose cash flow is being capped by regulation?

The answer is not about the buildings. It is about the spread.

Cerberus is not buying rent-regulated apartments. It is buying a yield that the bank could no longer defend to its equity holders. OceanFirst acquired the portfolio through its June purchase of Flushing Financial Corp. and moved to offload it within weeks. The bank priced the 1,400-loan book at roughly 92 cents, consistent with its internal valuation. That is a bank saying: this exposure does not fit our cost of capital anymore.

Cerberus, managing approximately \$70 billion in assets, has a different cost of capital and a different time horizon. Its Residential Opportunities platform buys distressed loan portfolios, provides financing, and invests directly in properties. The firm can hold loans through a regulatory cycle that a regional bank cannot. That is the mechanism at work: the transfer of duration risk from a balance sheet that needs quarterly liquidity to one that can wait.

The conventional reading of this transaction is that regional banks are fleeing New York rent-regulated multifamily. That is true. ConnectOne Bancorp announced Thursday it is exploring a bulk sale of its own rent-stabilized loan book, after reducing that exposure by 10 percent over the past year. The pattern is real. Regional banks fear that rising landlord costs and tighter regulations will erode borrowers' ability to service debt.

But the price tells a more nuanced story. If the loans were truly impaired, the bid would be in the 70s or 80s, not the low 90s. Ninety-two cents suggests that Cerberus underwrote the debt service coverage

as adequate, the collateral as stable, and the regulatory risk as manageable at that entry basis. The buyer is not betting on rent growth. It is betting that the current cash flow, even under a rent freeze, supports the debt at a discount that yields an acceptable return.

That is a different bet than buying the properties themselves. Buying the debt gives Cerberus seniority in the capital stack, a contractual yield, and the option to foreclose if the borrower defaults. The equity holder absorbs the regulatory pain first. The debt holder collects until the borrower stops paying. At 92 cents, Cerberus is buying a stream of payments that the bank could no longer justify holding, not a bet on asset appreciation.

The cast in this transaction reveals the incentive misalignment. OceanFirst needed to shrink exposure to reassure equity investors. The bank's shareholders were pricing in regulatory risk that the bank's balance sheet could not absorb. Cerberus, as an alternative asset manager, can hold loans through a cycle, foreclose if necessary, and wait for the regulatory environment to stabilize or change. The bank sold liquidity. Cerberus bought time.

ConnectOne's exploration of a similar sale suggests this is not a one-off. More regional banks will test the market for rent-regulated loan books. The question is whether the bid holds at 92 cents or drifts lower as supply increases. If Cerberus is the only buyer at that price, the next seller may have to accept less. If other institutional buyers step in, the market has found a floor.

The practical implication for owners of rent-regulated multifamily is uncomfortable. The debt on their buildings is now held by a firm that can foreclose and hold the asset through a regulatory freeze. That changes the negotiation dynamic. A borrower who could extend with a regional bank may find a less patient counterparty in Cerberus. The bank sold because it wanted out. Cerberus bought because it wants to be in, but on its own terms.

The transaction is not proof that New York rent-regulated multifamily is distressed. It is proof that the debt has a bid at a specific basis, and that basis is determined by the buyer's cost of capital, not the seller's carrying cost. The bank could not hold. Cerberus can. That is the entire story.

The next test is ConnectOne's book. If it trades at 90 cents or below, the market is repricing. If it trades at 92 or above, Cerberus set the floor. Either way, the signal is not about the buildings. It is about who can afford to wait.

SOURCES

— Propmodo —

<https://propmodo.com/distressed-multifamily-debt-finds-buyers-as-banks-exit-new-york-portfolios/>

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